Short-Term Energy Outlook

Overview

U.S. energy market indicators	2025	2026	2027
Brent crude oil spot price (dollars per barrel)	**$69**	**$97**	**$86**
Retail gasoline price (dollars per gallon)	**$3.10**	**$3.89**	**$3.73**
U.S. crude oil production (million barrels per day)	**13.7**	**13.9**	**14.3**
Natural gas price at Henry Hub (dollars per million British thermal units)	**$3.53**	**$3.37**	**$2.88**
U.S. liquefied natural gas gross exports (billion cubic feet per day)	**15**	**18**	**19**
Shares of U.S. electricity generation			
Natural gas	40%	40%	39%
Coal	17%	15%	15%
Nuclear	18%	18%	18%
Conventional hydropower	6%	6%	6%
Wind	11%	11%	12%
Solar	7%	8%	10%
Other energy sources	1%	1%	1%
U.S. GDP (percentage change)	**2.3%**	**2.4%**	**2.8%**
U.S. CO_2 emissions (billion metric tons)	**4.9**	**4.8**	**4.9**

Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook,* November 2026
Note: Values in this table are rounded and may not match values in other tables in this report.

- **Global oil prices.** Crude oil prices rose for a third consecutive month in October as falling global inventories, attacks on oil tankers in the Persian Gulf, constrained shipping capacity, and higher transportation costs tightened supply. Amid these conditions, we expect the Brent crude oil spot price will remain near $100 per barrel (b) for the remainder of this year. We assume most Middle East production outside Iran to return to pre-conflict averages by the middle of next year. As depleted global oil inventories build throughout next year, we forecast the Brent spot price will gradually fall to an average of $77/b in the fourth quarter of 2027.

- **Crude oil inventories**. U.S. commercial crude oil inventories fell to 410 million barrels at the end of October, the lowest end-of-October level since 2014. Inventories fell as a large spread between Brent and West Texas Intermediate (WTI) prices encouraged crude oil exports and lowered crude oil imports. Additionally, high crude oil inputs at U.S. refineries over the past several months have helped reduce inventories. Inventories remain below the five-year average through the middle of next year in our forecast as ongoing tightness in the global oil tanker market sustains a wide, albeit narrowing, Brent-WTI price spread. U.S. crude oil inventories gradually rise in the forecast, driven by higher net imports as the Brent–WTI spread narrows and U.S. crude oil production reaches a record 14.3 million barrels per day in 2027.

- **U.S. petroleum prices.** Although we expect the U.S. average retail price of gasoline and diesel to decline in 2027, we raised our forecast for those prices from last month's outlook. In our forecast, the U.S. retail diesel price averages $5.03 per gallon (gal) next year, 12% higher than we forecast last month. Gasoline prices average $3.73/gal, 5% higher than last month. We now assume global petroleum product markets will face continued supply constraints through the end of 2027. These market conditions will support wider petroleum product crack spreads next year and incentivize elevated U.S. refinery operations.

- **Natural gas prices**. A warm start to November is putting downward pressure on U.S. natural gas prices. We expect more natural gas in storage in the coming months than we had previously forecast because mild weather in November reduced heating demand. We forecast the Henry Hub spot price for natural gas to average $2.87 per million British thermal units from November through March, 16% lower than we expected last month.

- **LNG exports.** International natural gas prices have climbed to their highest levels since December 2022 while U.S. Henry Hub prices have fallen, supporting U.S. liquefied natural gas (LNG) exports, with export terminals running near full capacity. We forecast U.S. LNG exports will rise to 19 billion cubic feet per day in 2027, up 26% from 2025, as new export capacity ramps up and existing facilities expand.

- **Electricity generation.** We expect the U.S. electric power sector to generate almost 4,390 billion kilowatthours in 2026, up 2.7% from 2025, driven by rising demand from the commercial sector and increased cooling needs from warmer-than-average summer temperatures. We expect electricity generation growth will slow to 1.2% in 2027, with forecast milder weather reducing residential demand. Most of the generation growth over the forecast period comes from utility-scale solar plants.

- **Coal markets.** U.S. coal consumption falls by 7% to 419 million short tons in 2026 in the forecast, and by another 5% in 2027. Coal production decreases by just 2% this year, as rising exports partly offset the drop in consumption. Production falls by another 4% in 2027 as consumption decreases and exports remain flat. Even with flat exports, exports make up a rising share of U.S. coal disposition in the forecast, supported by stronger demand from Europe and Asia as well as China's commitment to purchase 10 million metric tons of U.S. coal in both 2027 and 2028.

- **Forecast timeline.** We finalized inputs into the model on November 5, 2026. This month's forecast does not specifically account for market events after that day.

Notable forecast changes	**2026**	**2027**
OPEC total liquid fuels production (million barrels per day)	**24.5**	**28.4**
Previous forecast	23.9	29.2
Percentage change	2.4%	-2.8%
Retail diesel price (dollars per gallon)	**$5.25**	**$5.03**
Previous forecast	$5.19	$4.49
Percentage change	1.2%	12.0%
Retail gasoline price (dollars per gallon)	**$3.89**	**$3.73**
Previous forecast	$3.91	$3.56
Percentage change	-0.6%	4.7%
Henry Hub spot price (dollars per million British thermal units)	**$3.37**	**$2.88**
Previous forecast	$3.48	$3.16
Percentage change	-3.3%	-8.8%

Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*

Global Oil Markets

Global oil prices

The Brent crude oil spot price increased to an average of $124 per barrel (b) in October, $10/b higher than in September and the highest price since July 2022 when prices averaged $127/b adjusted for inflation. Prices increased for a third consecutive month as global oil inventories continued to fall. Attacks on oil tankers continued around the Middle East and, more recently, in the Black Sea, stemming from the conflict between Russia and Ukraine. These attacks further disrupted global oil flows and reduced the availability of global oil tankers, causing tanker rates to rise sharply.

Although oil prices increased last month, ship tracking data from Vortexa indicate that oil exports from the Middle East increased slightly in October, following the restart of the Saudi Arabian East-West Pipeline. Continued flows through the Strait of Hormuz using ship-to-ship transfers along Oman's coast added to supply, which was reflected in prices during late October and early November, with the Brent spot price falling below $100/b on November 4.

Table 1. Estimated Strait of Hormuz closure-related disruptions in crude oil production
thousand barrels per day

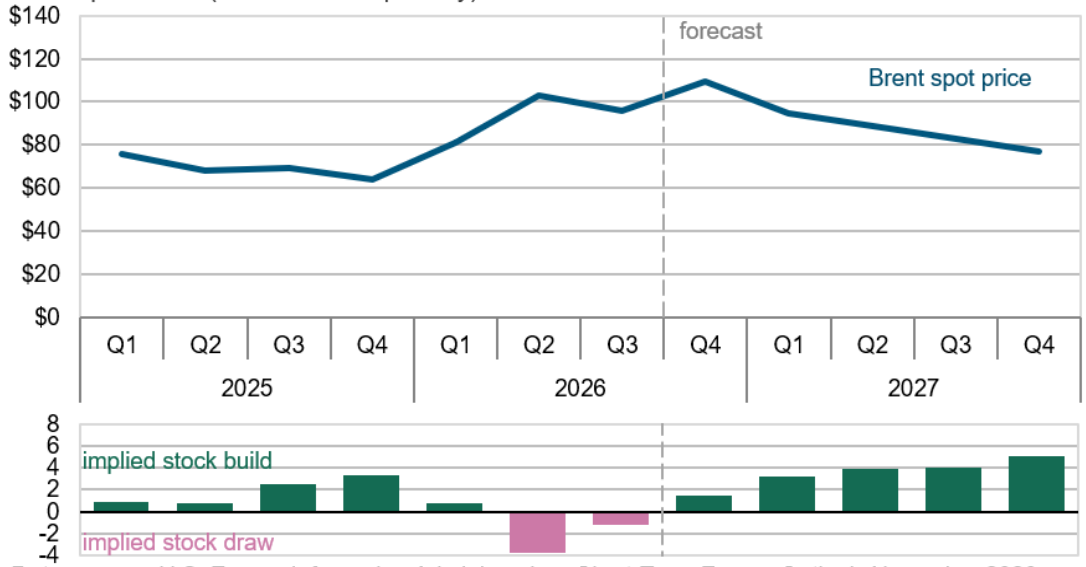
Country	Production Feb-26	Estimated shut-ins Mar–Sep-26 average	Estimated shut-ins Oct-26	Forecast shut-ins 4Q26	Forecast shut-ins 1H27	Forecast shut-ins 2H27
Kuwait	2,560	1,231	560			
UAE	3,600	529	0			
Iran	3,390	606	1,080			
Iraq	4,400	2,046	60			
Qatar	557	321	300			
Bahrain	193	114	40			
Saudi Arabia	10,500	2,643	500			
Total	**25,200**	**7,490**	**2,540**	**2,520**	**1,900**	**1,300**

We only forecast aggregate disruptions for future months.

Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook,* November 2026
Note: 4Q26=fourth quarter of 2026, 1H27=first half of 2027

Crude oil production shut-ins fell in October compared with September. We assess that crude oil production shut-ins in the Middle East averaged 2.5 million barrels per day (b/d) in October, down from 10.9 million b/d at the peak in May. Shut-in volumes in our forecast remain essentially flat through the remainder of 2026, as we assume oil flows from the Middle East remain somewhat constrained during this period. Amid ongoing constraints, we forecast Brent will average around $100/b during November and December.

Brent crude oil spot price and global inventory changes
dollars per barrel (million barrels per day)



Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, November 2026

We estimate that global oil inventories fell by an average of 1.2 million b/d in the third quarter of 2026 (3Q26) but will begin building in 4Q26. Although we forecast that global oil production will outpace consumption in 4Q26, the heightened risk of supply disruptions and longer shipping routes will limit the near-term impact of global stock builds until geopolitical risk dissipates and inventories begin to return closer to pre-conflict levels.

We assume export workarounds from the Middle East such as pipeline and overland bypass routes, ship-to-ship transfers, and new pipeline capacity expected to come online in 2027 in the United Arab Emirates will lead to shut-in volumes gradually falling through the *Short-Term Energy Outlook* forecast period. Global inventories in our forecast build by 3.5 million b/d in the first half of 2027, pushing the Brent price below $90/b in 2Q27. We expect the majority of production in the Middle East, outside of Iran, to return to pre-conflict averages by the end of 2Q27. We expect exports from Iran, however, to remain constrained through the forecast period. As depleted global oil inventories build throughout next year, oil prices gradually fall to an average of $77/b in 4Q27. However, we expect crude oil flows from the Middle East—via both the Strait of Hormuz and alternative routes—will remain susceptible to disruption, resulting in more volatility in short-term price movements than our monthly forecast indicates.